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NYSE: ONON · FOOTWEAR AND SPORTSWEAR

Financial Analysis

On Holding AG

THE QUESTION

On has beaten its own targets almost every year since its 2021 IPO. In 2026 growth slowed, and management cut a sales target for the first time. Can its promises still be trusted, and what was the market paying for them?

THESIS

Management guides prudently: it met or beat all 11 of its annual targets from FY2022 to FY2025. Its 2029 plan depends on the one thing it has not proven yet: costs growing slower than sales, which happened only in FY2025. I trust the sales and gross margin targets, and half of the cost target. At the price of 22 September 2026, the market was not paying even for that.

MY PROGNOSIS

> I expect an adjusted EBITDA margin of about 21% in 2029, one point below the target of at least 22%.

> The share price did not count on it. On's enterprise value was 8.3 times my 2029 EBIT, and On traded at the same EV/EBIT as Asics.

> I would change my mind if constant currency growth fell below 15% for two quarters in a row, or if SG&A excluding share-based compensation kept rising as a share of sales in 2027.

KEY DATA

Ticker	**NYSE: ONON**
Reporting	**IFRS · CHF · calendar year**
Share price, 22 Sep 2026	**USD 29.39**
Market capitalisation	**CHF 8,053.2m**
Enterprise value	**CHF 6,847.6m**
Net sales FY2025	**CHF 3,014.0m**
Adj. EBITDA margin FY2025	**18.8%**
Net cash after leases, FY2025	**CHF 498.4m**
EV / EBIT, FY2026 guidance	**14.4x**
P / E, FY2026 estimate	**19.6x**
Peers	**Deckers (HOKA), Asics**
Credibility verdict	**Prudent**

GROWTH FY2025, CC
35.6%
vs 19.4% Asics, 9.0% Deckers

SG&A / NET SALES FY2025
50.3%
vs 39.2% Asics, 34.6% Deckers

TARGETS MET OR BEATEN
11 / 11
FY2022–FY2025, 8 beaten

ADJ. EBITDA MARGIN 2029
20.9%
my central case, vs 22%+ target

EV / EBIT, CURRENT YEAR
14.4x
same as Asics, 7.5x Deckers

cc = constant currency, i.e. growth at the prior year's exchange rates. Sources: On Form 20-F FY2025 and results releases; Deckers Form 10-K FY2026; Asics financial summaries; prices of 22 September 2026 (Asics: 18 September). All calculations are in the Excel model. This is an analysis, not an investment recommendation: no price target, no advice to buy or sell.

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Business model and sales mix

Out of every CHF 100 of sales in FY2025, On kept CHF 62.8 as gross profit and spent CHF 50.3 on SG&A. It protects that gross margin with premium prices, few markdowns and a growing share of direct sales.

On Holding is a Swiss sportswear brand founded in Zurich in 2010 and listed in New York since 2021. It designs in Switzerland and outsources production to fewer than 30 manufacturing partners. About 90% of its footwear is made in Vietnam. It owns almost no factories.

On reports a single segment, one brand, split three ways: by channel, by region and by product. Footwear is 93.0% of sales; apparel is small but grows fast.

Three things drive sales: direct-to-consumer (DTC) growth through own stores and online, Asia-Pacific, where sales nearly doubled in FY2025, and price. Without internal data, price and volume cannot be separated, so this report reads growth by channel and region.

REPORTED VS CONSTANT CURRENCY

On reports in Swiss francs, but almost all of its sales are in other currencies. When the franc rises, every dollar sold is worth fewer francs. In FY2025, sales grew 30.0% in francs but 35.6% at constant currency: the strong franc took 5.6 points. Constant currency growth is the fair measure of the business, and the basis of management's guidance since FY2024.

2026 SO FAR

In H1 2026, net sales reached CHF 1,682.2 million, up 14.0% reported and 24.0% at constant currency, with a gross margin of 64.8% (60.7% a year earlier). On deliberately slowed wholesale deliveries to protect full-price sales. DTC rose to 42.2% of sales.

FY2025		NET SALES, CHF M	SHARE OF SALES	GROWTH, REPORTED	GROWTH, CC
Channel	Wholesale (retail partners)	1,753.4	58.2%	27.5%	32.6%
	Direct-to-consumer (stores, online)	1,260.5	41.8%	33.7%	39.9%
Region	Americas	1,740.1	57.7%	17.6%	23.4%
	Europe, Middle East and Africa	762.7	25.3%	32.0%	34.7%
	Asia-Pacific	511.1	17.0%	96.4%	**106.7%**
Product	Footwear	2,804.4	93.0%	27.5%	32.9%
	Apparel	169.9	5.6%	68.2%	75.5%
	Accessories	39.6	1.3%	124.1%	135.1%
Total		**3,014.0**	**100.0%**	**30.0%**	**35.6%**

SOURCE: ON FORM 20-F FY2025, ITEM 5.A, NET SALES BY CHANNEL, REGION AND PRODUCT (FIGURES AS PUBLISHED). H1 2026: RESULTS RELEASE OF 11 AUGUST 2026.

Accounting frame. IFRS, Swiss francs, calendar year. On files its annual report with the SEC on Form 20-F as a foreign private issuer and its quarterly releases on Form 6-K. Since 1 January 2026, the functional currency of its two main entities is the US dollar; the FY2022–FY2025 accounts are not affected.

Peers. Deckers (HOKA and UGG; US GAAP, fiscal year to March) and Asics (Japanese GAAP, yen). Both sell premium running shoes, and both publish and revise targets. With three GAAPs and three currencies, they are compared only through ratios, days and multiples, never amounts.

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Performance compared with peers

On grows about twice as fast as Asics and four times as fast as Deckers, and has the best gross margin of the three. Yet it turns the smallest share of each sale into operating profit, because it spends half of its sales on SG&A.

1. Sales growth

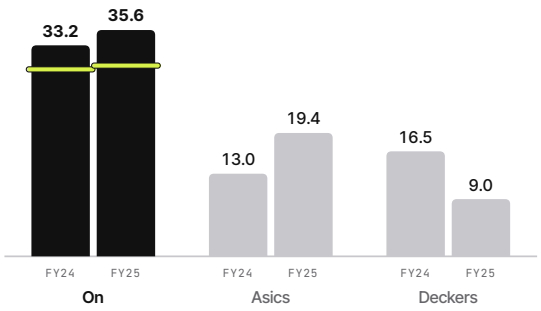
In FY2025, On's net sales grew 35.6% at constant currency, against 19.4% for Asics and 9.0% for Deckers (fiscal year to March 2026). HOKA, Deckers' running brand, grew 15.9% in US dollars. Asia-Pacific (+106.7%) and DTC (+39.9%) led the way.

Reported growth was only 30.0%, because the strong franc took 5.6 points (3.8 in FY2024). So growth rates in this report are at constant currency, except HOKA's, which Deckers publishes only in dollars.

The lead is narrowing. In H1 2026, Asics grew 22.0% at constant currency, close to On's 24.0%.

Net sales growth compared with peers

NET SALES GROWTH, CONSTANT CURRENCY, %



LIME BAR = ON'S REPORTED GROWTH (29.4, 30.0). DECKERS: FISCAL YEARS TO MARCH 2025 AND 2026. SOURCE: MODEL, TAB PEERS

2. Margins

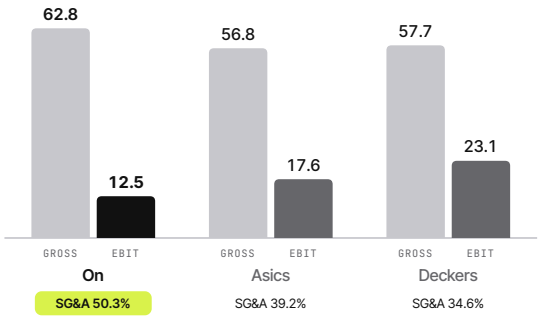
In FY2025, On kept 62.8% of sales as gross margin, ahead of Deckers (57.7%) and Asics (56.8%). Its EBIT margin was the lowest of the three: 12.5%, against 23.1% and 17.6%.

The gap is SG&A: 50.3% of net sales at On, 39.2% at Asics, 34.6% at Deckers. On spends its price advantage on building the brand: marketing, own stores, teams and logistics. Share-based compensation explains little of it (CHF 62.6 million, 2.1 points).

Asics shows that cost leverage exists in this industry. Its SG&A fell from 42.5% to 39.2% of sales between FY2023 and FY2025, and its EBIT margin rose from 9.5% to 17.6%. On's 2029 target is a bet on the same move.

Gross margin and EBIT margin compared with peers

GROSS MARGIN AND EBIT MARGIN, FY2025, %



SG&A = GROSS MARGIN - EBIT MARGIN. SOURCES: ON 20-F FY2025 P. F-4; DECKERS 10-K FY2026 P. F-6; ASICS SUMMARY FY2025 P. 14

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3. Cash generation and working capital

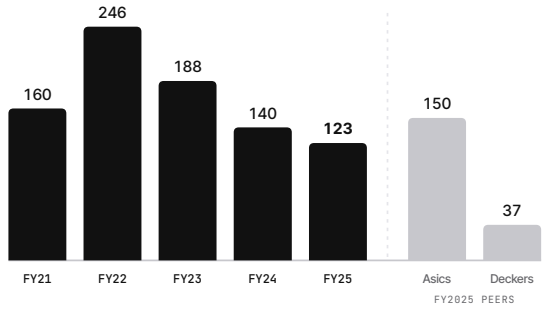
On's cash conversion cycle fell from 246 days in FY2022 to 123 days in FY2025. In 2022, On had built inventory to secure supply during the logistics crisis (269 days of inventory). It has since sold it down (137 days).

Over three years (FY2023–FY2025), On turned 93.8% of its EBIT into free cash flow after leases, in line with Deckers (89.0%) and well above Asics (62.9%). FY2025 alone was weaker (50.3%), because working capital absorbed CHF 187.7 million to fund growth.

So On's free cash flow margin (6.3% in FY2025, against 20.1% at Deckers) is low because its EBIT margin is low, not because cash is badly managed. Meanwhile, ROCE rose from 14.0% to 33.1%, and On holds CHF 498.4 million of net cash after lease liabilities, with no bank debt.

Cash conversion cycle, On and peers

CASH CONVERSION CYCLE, DAYS (DSO + DIO - DPO)



YEAR-END BALANCES. DECKERS: MARCH 2026, AFTER UGG'S WINTER PEAK, WHICH FLATTERS ITS DAYS. SOURCE: MODEL, TABS RATIOS AND PEERS

On's key ratios, FY2022–FY2025

RATIO	FY2022	FY2023	FY2024	FY2025
Net sales growth, reported	68.7%	46.6%	29.4%	30.0%
Net sales growth, constant currency	n.a.	n.a.	33.2%	35.6%
Gross margin	56.0%	59.6%	60.6%	62.8%
SG&A, % of net sales	49.1%	49.5%	51.5%	50.3%
EBIT margin	7.0%	10.1%	9.1%	12.5%
Adjusted EBITDA margin (On definition)	13.5%	15.5%	16.7%	18.8%
ROCE, pre-tax	14.0%	22.2%	22.6%	33.1%
Cash conversion cycle, days	246	188	140	123
Free cash flow after leases, CHF m	(330.1)	152.9	379.0	189.5
Cash conversion (FCF / EBIT)	n.m.	84.9%	179.1%	50.3%
Net debt / EBITDA (negative = net cash)	(1.60x)	(1.08x)	(1.82x)	(0.99x)

SOURCE: MODEL, TAB RATIOS (CALCULATIONS FROM THE 20-F ACCOUNTS; CONSTANT CURRENCY GROWTH AS PUBLISHED IN THE 20-F, FROM FY2024 ONLY; THE FY2023 RESULTS RELEASE GIVES “OVER 55%”). N.M. = NOT MEANINGFUL (NEGATIVE FCF).

METHOD CHOICES

Free cash flow = operating cash flow – capex – lease payments (principal and interest). Under IFRS 16, On books rent in financing; deducting it puts On on equal terms with Deckers (US GAAP), whose rent stays in operating cash flow. On does not define its own free cash flow in the documents used.

Cash conversion = FCF / EBIT, because On's net income is distorted by currency losses below EBIT (CHF 173.2 million in FY2025). **ROCE** = EBIT / average capital employed (PP&E, right-of-use assets, intangibles and net working capital). **EBIT margin** is the reference margin across peers, being the least affected by the three GAAPs.

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Guidance track record, FY2022–FY2025

On guides conservatively. Over four completed cycles, it met or beat all 11 annual targets and beat 8 of them against its initial guidance. I rate its guidance credibility as **prudent**.

Method. I read guidance the way a controller reads a budget: the first guidance of the year is the budget, each revision a reforecast, and the published result the actual. I logged 61 guidance statements over five cycles (FY2022–FY2026), each checked word for word in 22 documents. "In line" means within ±1% of net sales or ±0.5 pp of margin.

Net sales beat the initial guidance every year, by 2.5% (FY2024) to 23.4% (FY2022). The largest gap, FY2022 (CHF 1,222.1 million against more than CHF 990 million), reflects demand well above plan as supply normalised, with Q4 2022 net sales up 91.9%. Since FY2024, guidance is set at constant currency: FY2025 delivered 35.6% against an initial "at least 27%".

Gross margin beat in all three guided years, by up to 2.3 pp (FY2025: 62.8% against around 60.5%), helped by lower freight costs and, in FY2025, favourable currency.

Adjusted EBITDA margin is the exception. It landed within 0.5 pp of target from FY2022 to FY2024 and was beaten only in FY2025 (+1.55 pp). The gross margin surplus is reinvested: operating costs excluding D&A and share-based compensation rose from 42.5% to 44.0% of net sales between FY2022 and FY2025.

Revisions. Management raised its targets 18 times and lowered them twice between 2022 and 2025. Both cuts (May 2025, margins, trade policy and the strong franc) were reversed in August.

11 of 11 annual targets met or beaten

FY2022–FY2025 · BEATEN 8 · IN LINE 3 · MISSED 0



Beaten In line

REVISIONS, 2022–2025
18 : 2
raised : lowered

LARGEST BEAT
+23.4%
FY2022 net sales

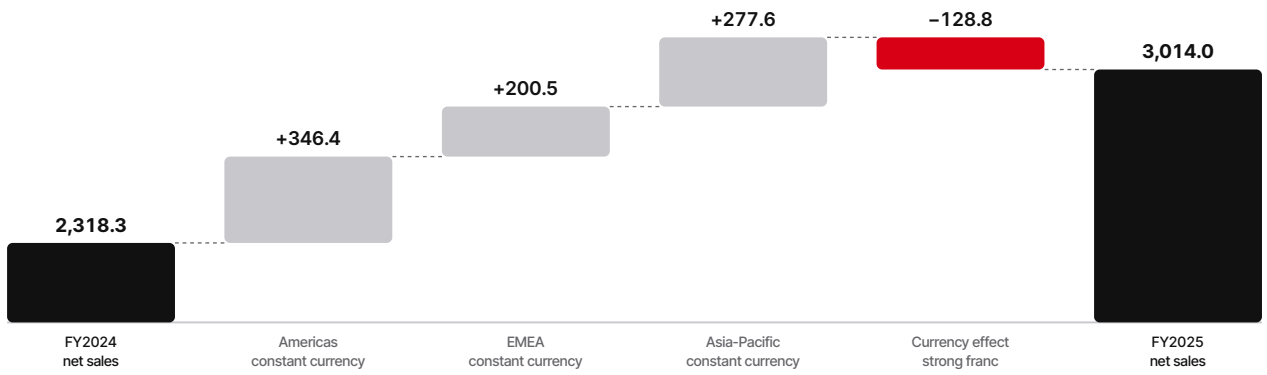
CYCLE	METRIC	BUDGET (INITIAL)	ACTUAL	GAP VS BUDGET	STATUS
FY2022	Net sales, CHF m	990	1,222.1	+23.4%	Beat
FY2022	Adjusted EBITDA margin	13.1%	13.5%	+0.4 pp	In line
FY2023	Net sales, CHF m	1,700	1,792.1	+5.4%	Beat
FY2023	Gross profit margin	58.5%	59.6%	+1.1 pp	Beat
FY2023	Adjusted EBITDA margin	15.0%	15.5%	+0.5 pp	In line
FY2024	Net sales growth, cc	30.0%	33.2%	+2.5%	Beat
FY2024	Gross profit margin	60.0%	60.6%	+0.6 pp	Beat
FY2024	Adjusted EBITDA margin	16.25%	16.7%	+0.45 pp	In line
FY2025	Net sales growth, cc	27.0%	35.6%	+6.8%	Beat
FY2025	Gross profit margin	60.5%	62.8%	+2.3 pp	Beat
FY2025	Adjusted EBITDA margin	17.25%	18.8%	+1.55 pp	Beat

SOURCE: MODEL, TAB PROMISES (BUDGET = FIRST GUIDANCE GIVEN WITH THE PRIOR YEAR'S RESULTS; ACTUAL = 20-F AND RESULTS RELEASES). NET SALES GAPS IN % OF SALES; MARGIN GAPS IN PERCENTAGE POINTS. "MORE THAN", "AT LEAST" OR "AROUND" READ AS THE STATED NUMBER; RANGES AT THEIR MIDPOINT.

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Net sales growth by region and currency effect

NET SALES BRIDGE FY2024 → FY2025, CHF MILLION



REGIONAL CONSTANT CURRENCY GROWTH APPLIED TO FY2024 REGIONAL SALES; CURRENCY EFFECT = THE RESIDUAL TO REPORTED FY2025 SALES. NO SCOPE EFFECT: ON MADE NO ACQUISITION. AXIS STARTS AT CHF 2,000 MILLION. SOURCE: 20-F FY2025, ITEM 5.A; MODEL, TAB PROMISES

Americas contributed the most in francs (CHF 346.4 million), Asia-Pacific grew the fastest (+106.7% at constant currency). The regional rows add up to 35.57% against 35.6% published, a rounding gap.

FY2026 guidance revisions

In August 2026, On lowered its constant currency growth guidance for the first time, from "at least 23%" to the "low-20% range", while raising its gross margin outlook to "at least 65.0%". Q3 is guided at around 17%.

Management says it is “on track to significantly exceed” its Investor Day 2023 targets. That holds for both margins, but the target of at least CHF 3.55 billion in net sales is at risk in reported terms (latest range CHF 3.47 to 3.56 billion). The cut looks deliberate: On is slowing wholesale deliveries to protect full prices.

FY2026	BUDGET, MAR 2026	LATEST, SEP 2026	H1 2026 ACTUAL
Net sales growth, cc	at least 23%	low-20% range	24.0%
Gross margin	at least 63.0%	at least 65.0%	64.8%
Adjusted EBITDA margin	18.5% to 19.0%	19.5% to 20.0%	20.3%

SOURCES: FY2025 RESULTS RELEASE (3 MAR 2026), Q2 2026 RELEASE (11 AUG 2026), INVESTOR DAY 2026 (22 SEP 2026).

What I would watch

- **Q3 2026 constant currency growth** against around 17% (results due on 10 November 2026, after the data cut-off of this report).
- **Gross margin excluding tariff refunds**: up to USD 65 million are expected in Q3 2026 and excluded from guidance.
- **SG&A as a share of net sales**: 48.7% excluding share-based compensation in H1 2026, up from 47.5%. The 2029 ambition, an adjusted EBITDA margin of 22%+ with gross margin held at 65%+, requires SG&A leverage the record shows only in FY2025.

LIMITS

Guidance is a public commitment, not an internal budget. Without internal data, variances cannot be split into price, volume and mix. Who made the promises matters too: the FY2022–FY2026 budgets were set under Martin Hoffmann, co-CEO and CFO, sole CEO from July 2025; the 2026 revisions and the 2029 targets come from the co-founders, co-CEOs since May 2026, and CFO Frank Sluis.

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Key risks

THE AUDITOR'S VIEW

PwC, On's auditor since 2013, issued an unqualified opinion on the FY2025 accounts and found internal control over financial reporting effective. Its only critical audit matter is lease accounting: lease liabilities reached CHF 521.5 million, up 50.0% in a year against 30.0% sales growth, as On opens stores and automated warehouses. The judgment at stake is the lease term, i.e. whether extension options will be exercised. PwC's group materiality, disclosed in the Swiss statutory report, is CHF 28.0 million (0.93% of net sales). I use it below to size each risk.

1. SG&A leverage never shows

PROBABILITY HIGH IMPACT HIGH

On has the highest gross margin of its peers (62.8%) but spends half of its sales on SG&A (50.3% in FY2025, 49.1% in FY2022). Marketing grew 36.1% and selling expenses 54.6% in FY2025, ahead of sales, and CHF 112.7 million of athlete endorsement contracts are already committed. The 2029 target (adjusted EBITDA margin of at least 22% with gross margin held at 65%+) requires leverage the record has not shown. Each point of SG&A is worth CHF 30.1 million, above materiality.

I WATCH

SG&A excluding share-based compensation: 48.7% of sales in H1 2026, against 47.5% a year earlier.

2. Wholesale dependence and a first customer above 10%

PROBABILITY MEDIUM IMPACT HIGH

Wholesale accounts for 58.2% of net sales. In FY2025, for the first time, one customer exceeded 10% of net sales (11.0%, about CHF 331.5 million, close to 12 times materiality), and two customers each held more than 10% of trade receivables at year end. On has responded with credit insurance, a DTC channel growing faster than wholesale (41.8% of sales) and, in 2026, a deliberate slowdown of wholesale deliveries to protect full-price sales.

AN INTERNAL AUDITOR WOULD TEST

credit limits, insurance cover and the year-end estimates of returns and rebates.

3. Production in Vietnam and US tariffs

PROBABILITY MEDIUM IMPACT MEDIUM

About 90% of On's footwear is made in Vietnam, and six partners account for about 70% of production. Since August 2025, the US applies a 20% reciprocal tariff on Vietnamese goods, while the US generated 51.4% of FY2025 net sales (59.0% in FY2024). So far gross margin has absorbed the cost: 65.4% in Q2 2026, "even while fully absorbing higher U.S. import tariffs". The risk now depends more on where products are made than on where they are sold.

I WATCH

gross margin excluding the tariff refunds expected in Q3 2026 (up to USD 65 million).

4. Internal control under growth

PROBABILITY LOW IMPACT HIGH

From its first annual report to the end of 2022, On reported a material weakness: insufficient segregation of accounting duties in its legacy ERP and no required review of journal entries. PwC issued an adverse opinion on internal control at 31 December 2022; the weakness was remediated in 2023 with a new ERP and approval workflows. Since then, net sales have grown from CHF 1,792.1 million to CHF 3,014.0 million, and 2026 brings a new CFO, a new functional currency for the main entities and new automated warehouses.

WHY IT MATTERS

a new weakness is unlikely, but it would undermine trust in every figure in this report.

NOT RETAINED: CURRENCY (AN FX LOSS OF CHF 173.2 MILLION IN FY2025, REPORTED BELOW OPERATING PROFIT) AND INVENTORIES (DAYS OF INVENTORY DOWN FROM 269 TO 137 SINCE FY2022). PROBABILITIES AND IMPACTS ARE MY OWN ASSESSMENT. SOURCES: ON 20-F FY2022–FY2025 (AUDITOR'S REPORTS, NOTES 2.1, 2.3, 3.1, 3.4, 5.3, ITEMS 3.D, 4.B, 15); SWISS ANNUAL REPORT FY2025; Q2 2026 RELEASE; MODEL, TAB RISKS.

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Outlook to 2029: three scenarios

I expect On to deliver its 2029 sales and gross margin targets, but only half of the SG&A leverage it promises: an adjusted EBITDA margin of about 21% in 2029 rather than 22%+.

Each scenario starts from the FY2026 guidance: the mid-point for Management and Central (net sales of CHF 3,515.0 million, adjusted EBITDA margin of 19.75%), the low end for Prudent (CHF 3,470.0 million, 19.5%). Each then moves three drivers only: constant currency growth, gross margin and SG&A as a share of net sales. FY2026 is at the spot rates of August 2026, used in the guidance; 2027 to 2029 are at constant currency, as in management's 2029 targets.

MANAGEMENT

Takes the Investor Day 2026 targets at their word: "high-teens" growth (I assume 17% a year), a 65.0% gross margin, and SG&A falling from 51.5% to 49.3% of net sales. The targets are consistent: CHF 5,629.7 million of net sales and an adjusted EBITDA CAGR of 21.3%, above the 20% announced.

CENTRAL, MY VIEW

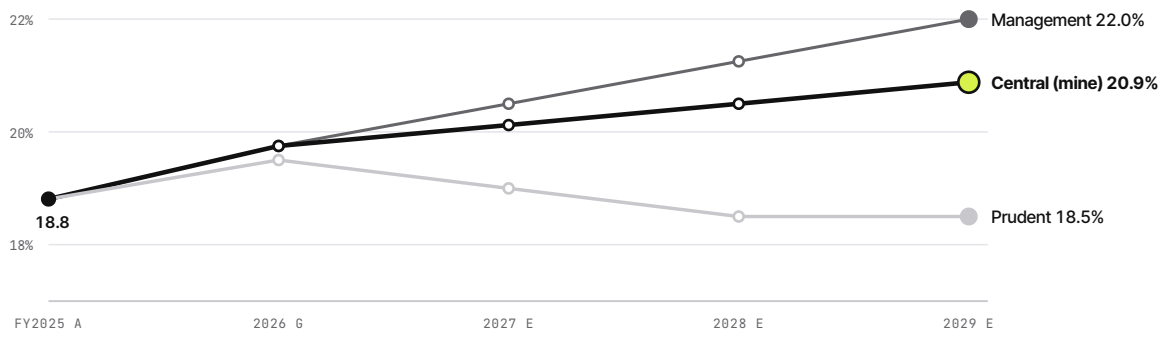
Keeps management's sales and gross margin, which On beat every year from FY2022 to FY2025, but grants only half of the SG&A leverage. SG&A rose from 49.1% to 50.3% of net sales between FY2022 and FY2025, and football and golf will likely add brand and athlete costs. Asics shows leverage is possible, so I do not assume none.

PRUDENT, THE HOKA PATH

Growth slows to 13%, 11% and 10%, as HOKA's slowed from 15.9% in its fiscal year to March 2026 to 7.7% the next quarter (in dollars). Gross margin slips to 64.0% and SG&A stays flat. The trigger would be the wholesale channel, 58.2% of net sales, with one customer at 11.0%.

Adjusted EBITDA margin by scenario

ADJUSTED EBITDA MARGIN, %



A = ACTUAL · G = GUIDANCE MID-POINT (PRUDENT: LOW END) · E = MY ESTIMATE, AT CONSTANT FX. SOURCE: MODEL, TAB FORECAST

FY2029, CHF MILLION	MANAGEMENT	CENTRAL	PRUDENT
Net sales	5,629.7	5,629.7	4,787.7
Gross margin	65.0%	65.0%	64.0%
SG&A, % of net sales	49.3%	50.4%	51.8%
EBIT (margin)	885.8 (15.7%)	822.5 (14.6%)	585.7 (12.2%)
Adjusted EBITDA margin	**22.0%**	**20.9%**	**18.5%**

D&A AND SHARE-BASED COMPENSATION HELD AT THEIR H1 2026 SHARE OF NET SALES. NO BALANCE SHEET OR CASH FLOW FORECAST. SOURCE: MODEL, TAB FORECAST.

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Valuation at 22 September 2026

At the 22 September 2026 price, On traded at the same EV/EBIT as Asics, and its enterprise value was only 8.3 times my 2029 EBIT.

CURRENT YEAR, ON OWN GUIDANCE	ON	DECKERS	ASICS
EV / EBIT	14.4x	7.5x	14.4x
P / E	19.6x	10.8x	24.0x
EBIT margin	13.5%	21.5%	18.6%
Reference year	FY2026	FY2027*	FY2026

*DECKERS: FISCAL YEAR APRIL 2026 TO MARCH 2027. PRICES: ON USD 29.39 (STOCKANALYSIS), DECKERS USD 79.83 (INVESTING.COM), 22 SEP 2026; ASICS JPY 4,066, 18 SEP 2026 (TOKYO CLOSED 19–23 SEP). USD/CHF 0.8205. EV = MARKET CAP - CASH + FINANCIAL DEBT. SHARES: LATEST QUARTERLY WEIGHTED AVERAGES (ASICS: SHARES OUTSTANDING AT 31 DECEMBER 2025). CASH: LATEST BALANCE SHEET (ASICS: DECEMBER 2025). GUIDANCE: ON Q2 2026 RELEASE; DECKERS Q1 FY2027 RELEASE (23 JUL 2026); ASICS Q2 2026 SUMMARY (14 AUG 2026).

On's premium over Deckers (1.9 times on EV/EBIT) is justified. On grows about three times faster, while Deckers' EBIT is flat.

Against Asics there is no premium left, and that is fair: in 2026 Asics grows almost as fast (22.0% against 24.0% at constant currency in H1) with a higher EBIT margin. So the price does not ask for much.

If On is still valued like Asics when 2029 becomes the current year, my central scenario implies an enterprise value 1.7 times that of September 2026. On the HOKA path, valued like Deckers, 0.64 times. The multiple matters as much as the results.

WHAT WOULD CHANGE MY MIND

Constant currency growth below 15% for two consecutive quarters, or SG&A excluding share-based compensation still rising as a share of net sales in 2027. Either would move On towards the HOKA path.

Three objections

"You trust management on sales, yet it just cut its 2026 target." It is the first sales cut in five cycles, after 18 raises and only two margin cuts, both reversed, from 2022 to 2025. It looks chosen: On is slowing wholesale deliveries to protect full prices, while DTC grew 34.3% at constant currency in Q2 2026. And I assume 17% a year, the low end of its “high-teens” ambition.

"Why half the leverage, not none or all of it?" None would ignore Asics (−3.3 pp of SG&A in two years) and On's own FY2025 (−1.2 pp). All of it would ignore four years of history and the likely cost of football and golf. Half is a judgment, and its price is visible: about CHF 63 million of EBIT in 2029.

"Can you compare three GAAPs, three currencies and shifted fiscal years?" Multiples are ratios, so currency does not matter. EV/EBIT is the least distorted by IFRS 16, and each company is taken on its own current-year guidance. Against Deckers (14.4x against 7.5x), a 10% error on each would not change the conclusion. Against Asics the multiples are level, so “no premium left” is the fragile call.

WHY EV/EBIT RATHER THAN EV/EBITDA: EV EXCLUDES LEASE LIABILITIES, WHOSE COST SITS INSIDE EBIT, WHILE ON'S ADJUSTED EBITDA IS LIFTED BY IFRS 16 (ABOUT 3 POINTS) AND BY THE EXCLUSION OF SHARE-BASED COMPENSATION. EV/EBITDA IS IN THE MODEL FOR REFERENCE. IMPLIED VALUES APPLY TODAY'S MULTIPLES TO 2029 EBIT WITHOUT DISCOUNTING. NOT AN INVESTMENT RECOMMENDATION.

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Made with AI

I built this project to learn. I am aiming for corporate finance, management control or audit, and I wanted to face what that work really involves, on a real company and its real filings. I also wanted to learn how AI can be used in finance, and where it still needs a human to check it. It is a learning exercise, not a professional research report.

210
AUTOMATED CHECKS IN THE MODEL

61
GUIDANCE STATEMENTS MATCHED WORD FOR WORD

22
GUIDANCE DOCUMENTS READ

WHAT I DID

I structured the project and set its goals. I made the calls: the company, the angle, the method (guidance read as a budget, free cash flow after leases, EV/EBIT as headline multiple), the credibility verdict, the scenarios and the prognosis. I steered the AI towards what I wanted, questioned its answers, directed the design and reviewed every text.

WHAT CLAUDE DID

Claude (Anthropic) proposed the work plan, collected the data from the four annual reports and 22 results releases and presentations, built the Excel model, the note, the deck and the site, and helped me interpret the results. It also acted as a tutor: it explained what I had not yet covered in class and pointed me to methods I did not know.

HOW IT WAS CHECKED

Every figure re-read in its source document by script, never from memory. Every calculation recomputed by a second, separate script. The finished note, deck, site and model were re-checked against the sources by a second AI agent that had not seen the work: 654 figures, no wrong value, nine wording fixes, all made. 210 OK/ERROR controls in the model.

AN AI ERROR THE CHECKS CAUGHT

The first draft of the outlook said On had grown faster than Asics "over four years". The control pass showed the comparison only held for FY2024 and FY2025: in H1 2026, Asics grew almost as fast (22.0% against 24.0%). The sentence was corrected, and the finding became part of the valuation argument: there is no premium left against Asics, and that is fair.

RULES I FOLLOWED

Primary sources only: filings with the SEC and company releases; press and videos for context, never for a number. Each year taken from the most recent filing that contains it. Numbers written as in the sources, so each can be found with Ctrl+F. Every model line carries its document, page and search text.

Sources

- On Holding AG, annual reports on Form 20-F, FY2022 to FY2025, and Swiss statutory annual report FY2025 (SEC EDGAR, CIK 1858985).
- On Holding AG, quarterly and annual results releases (Form 6-K), Q3 2021 to Q2 2026, with the Q2 2026 MD&A; Investor Day releases of 4 October 2023 and 22 September 2026.
- Deckers Outdoor Corp., annual reports on Form 10-K, fiscal years to March 2025 and 2026; Q1 fiscal 2027 release, 23 July 2026.
- Asics Corp., Summary of Consolidated Financial Statements FY2024 and FY2025 (Japan GAAP); consolidated financial summary Q2 2026, 14 August 2026.
- Share prices: StockAnalysis (On), Investing.com (Deckers, Asics). USD/CHF: Pound Sterling Live. All as of 22 September 2026, Asics 18 September.

Disclaimer. Independent student analysis, written for educational purposes. It is not investment advice or an investment recommendation: no price target, no advice to buy, sell or hold. Data as of 22 September 2026; figures after that date are not included. Not affiliated with, sponsored or endorsed by On Holding AG, Deckers or Asics; their names are used only to identify the companies analysed. **Disclosures.** The author holds no position in On Holding AG, Deckers or Asics and has no relationship with these companies. Report completed on 10 November 2026. Facts are sourced; opinions and estimates are marked as the author's ("I", "my central case").

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